

MULTIPLE CHOICE. Choose the one alternative that best completes the statement or answers the question.

- 1) Financial markets promote economic efficiency by _____
A) reducing investment.
B) creating inflation.
C) channeling funds from investors to savers.
D) channeling funds from savers to investors.
- 2) Well-functioning financial markets promote _____
A) growth.
B) inflation.
C) deflation.
D) unemployment.
- 3) Channeling funds from individuals with surplus funds to those desiring funds when the saver does not purchase the borrower's security is known as _____
A) redistribution.
B) financial intermediation.
C) taxation.
D) barter.
- 4) A financial crisis is _____
A) a feature of developing economies only.
B) not possible in the modern financial environment.
C) a major disruption in the financial markets.
D) typically followed by an economic boom.
- 5) Banks _____
A) produce nothing of value and are therefore a drain on society's resources.
B) hold very little of the average American's wealth.
C) provide a channel for linking those who want to save with those who want to invest.
D) are the only financial institutions allowed to give loans.
- 6) The financial intermediaries that the average person interacts with most frequently are _____
A) banks.
B) finance companies.
C) over-the-counter markets.
D) exchanges.
- 7) During a recession, output declines result in _____
A) no impact on the unemployment in the economy.
B) higher wages for the workers.
C) lower unemployment in the economy.
D) higher unemployment in the economy.
- 8) _____ theory relates the quantity of money and monetary policy to changes in aggregate economic activity and inflation. _____
A) Fiscal
B) Financial
C) Systemic
D) Monetary
- 9) The gross domestic product is the _____
A) the market value of all intermediate goods and services produced in an economy in a year.
B) the value of all goods and services sold to other nations in a year.
C) the market value of all final goods and services produced in an economy in a year.
D) the value of all wealth in an economy.
- 10) Which of the following items are NOT counted in U.S. GDP? _____
A) GM's purchase of tires for new cars
B) your purchase of new tires for your old car
C) a foreign consumer's purchase of a new Ford Mustang
D) your purchase of a new Ford Mustang

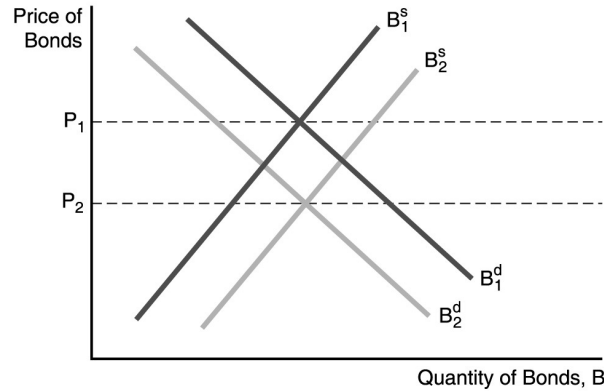
- 11) If your nominal income in 2014 is \$50,000, and prices increase by 50% between 2014 and 2017, then to have the same real income, your nominal income in 2017 must be _____
 A) \$50,000. B) \$75,000. C) \$100,000. D) \$150,000.
- 12) To an economist, _____ is anything that is generally accepted in payment for goods and services or in the repayment of debt. _____
 A) income B) money C) credit D) wealth
- 13) The total collection of pieces of property that serve to store value is a person's _____
 A) wealth. B) income. C) credit. D) money.
- 14) When we say that money is a stock variable, we mean that _____
 A) the quantity of money is measured at a given point in time.
 B) it is sold in the equity market.
 C) we must attach a time period to the measure.
 D) money never loses purchasing power.
- 15) Of money's three functions, the one that distinguishes money from other assets is its function as a _____
 A) standard of deferred payment. B) unit of account.
 C) store of value. D) medium of exchange.
- 16) _____ are the time and resources spent trying to exchange goods and services. _____
 A) Barter costs B) Bargaining costs
 C) Contracting costs D) Transaction costs
- 17) Compared to an economy that uses a medium of exchange, in a barter economy _____
 A) transaction costs are higher. B) transaction costs are lower.
 C) liquidity costs are lower. D) liquidity costs are higher.
- 18) When money prices are used to facilitate comparisons of value, money is said to function as a _____
 A) payments-system ruler. B) store of value.
 C) medium of exchange. D) unit of account.
- 19) In a barter economy the number of prices in an economy with N goods is _____
 A) 2N. B) $[N(N - 1)]/2$. C) $N(N/2)$. D) $N(N/2) - 1$.
- 20) As a store of value, money _____
 A) does not earn interest. B) cannot be a durable asset.
 C) is a way of saving for future purchases. D) must be currency.
- 21) _____ is the narrowest monetary aggregate that the Fed reports. _____
 A) M2 B) M0 C) M1 D) M3
- 22) The components of the U.S. M1 money supply are demand and checkable deposits plus _____
 A) currency plus travelers checks.
 B) currency.
 C) currency plus savings deposits.
 D) currency plus travelers checks plus money market deposits.
- 23) Which of the following is NOT included in the measure of M1? _____
 A) NOW accounts B) savings deposits
 C) currency D) demand deposits
- 24) Which of the following is NOT included in the M1 measure of money but is included in the M2 measure of money? _____
 A) traveler's checks B) currency
 C) small-denomination time deposits D) demand deposits

- 25) If an individual moves money from a demand deposit account to a money market deposit account 25) _____
 A) M1 decreases and M2 stays the same.
 B) M1 stays the same and M2 stays the same.
 C) M1 stays the same and M2 increases.
 D) M1 increases and M2 decreases.
- 26) The concept of _____ is based on the common-sense notion that a dollar paid to you in the future is 26) _____
 less valuable to you than a dollar today.
 A) deflation B) interest C) present value D) future value
- 27) The present value of an expected future payment _____ as the interest rate increases. 27) _____
 A) is constant B) falls C) is unaffected D) rises
- 28) What is the present value of \$500.00 to be paid in two years if the interest rate is 5 percent? 28) _____
 A) \$550.00 B) \$476.25 C) \$453.51 D) \$500.00
- 29) If a security pays \$55 in one year and \$133 in three years, its present value is \$150 if the interest rate is 29) _____
 A) 5 percent. B) 10 percent. C) 12.5 percent. D) 15 percent.
- 30) A \$1000 face value coupon bond with a \$60 coupon payment every year has a coupon rate of 30) _____
 A) .6 percent. B) 10 percent. C) 6 percent. D) 5 percent.
- 31) A discount bond 31) _____
 A) pays the bondholder a fixed amount every period and the face value at maturity.
 B) pays all interest and the face value at maturity.
 C) pays the face value at maturity plus any capital gain.
 D) pays the bondholder the face value at maturity.
- 32) Economists consider the _____ to be the most accurate measure of interest rates. 32) _____
 A) current yield. B) simple interest rate.
 C) yield to maturity. D) real interest rate.
- 33) If a security pays \$110 next year and \$121 the year after that, what is its yield to maturity if it sells for 33) _____
 \$200?
 A) 9 percent B) 10 percent C) 11 percent D) 12 percent
- 34) The yield to maturity is _____ than the _____ rate when the bond price is _____ its face value. 34) _____
 A) greater; coupon; below B) greater; perpetuity; above
 C) less; perpetuity; below D) greater; coupon; above
- 35) The _____ is below the coupon rate when the bond price is _____ its par value. 35) _____
 A) yield to maturity; below B) discount rate; below
 C) discount rate; above D) yield to maturity; above
- 36) Which of the following \$1,000 face-value securities has the lowest yield to maturity? 36) _____
 A) a 5 percent coupon bond selling for \$1,000
 B) a 15 percent coupon bond selling for \$1,000
 C) a 15 percent coupon bond selling for \$900
 D) a 10 percent coupon bond selling for \$1,000
- 37) Which of the following bonds would you prefer to be buying? 37) _____
 A) a \$10,000 face-value security with a 10 percent coupon selling for \$10,000
 B) a \$10,000 face-value security with a 10 percent coupon selling for \$9,000
 C) a \$10,000 face-value security with a 9 percent coupon selling for \$10,000
 D) a \$10,000 face-value security with a 7 percent coupon selling for \$10,000
- 38) A consol paying \$20 annually when the interest rate is 5 percent has a price of 38) _____
 A) \$100. B) \$200. C) \$400. D) \$800.

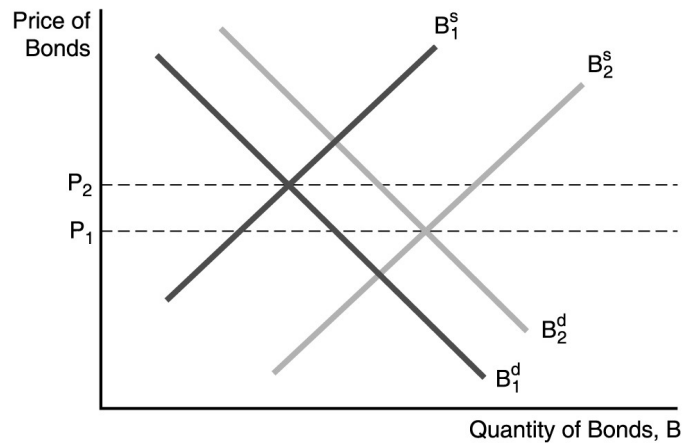
- 39) A discount bond selling for \$15,000 with a face value of \$20,000 in one year has a yield to maturity of _____ 39) _____
 A) 3 percent. B) 20 percent. C) 25 percent. D) 33.3 percent.
- 40) The yield to maturity for a discount bond is _____ related to the current bond price. 40) _____
 A) not B) directly C) positively D) negatively
- 41) What is the return on a 5 percent coupon bond that initially sells for \$1,000 and sells for \$1,200 next year? 41) _____
 A) 10 percent B) 5 percent C) -5 percent D) 25 percent
- 42) What is the return on a 5 percent coupon bond that initially sells for \$1,000 and sells for \$900 next year? 42) _____
 A) 10 percent B) -5 percent C) -10 percent D) 5 percent
- 43) An equal decrease in all bond interest rates 43) _____
 A) decreases the price of a ten-year bond more than the price of a five-year bond.
 B) increases the price of a ten-year bond more than the price of a five-year bond.
 C) decreases the price of a five-year bond more than the price of a ten-year bond.
 D) increases the price of a five-year bond more than the price of a ten-year bond.
- 44) Which of the following are generally TRUE of bonds? 44) _____
 A) Prices and returns for short-term bonds are more volatile than those for longer-term bonds.
 B) A rise in interest rates is associated with a fall in bond prices, resulting in capital gains on bonds whose terms to maturity are longer than the holding periods.
 C) The longer a bond's maturity, the smaller is the size of the price change associated with an interest rate change.
 D) A bond's return equals the yield to maturity when the time to maturity is the same as the holding period.
- 45) If wealth increases, the demand for stocks _____ and that of long-term bonds _____, everything else held constant. 45) _____
 A) decreases; decreases B) decreases; increases
 C) increases; increases D) increases; decreases
- 46) If fluctuations in interest rates become smaller, then, other things equal, the demand for stocks _____ and the demand for long-term bonds _____. 46) _____
 A) decreases; increases B) increases; decreases
 C) decreases; decreases D) increases; increases
- 47) Holding everything else constant 47) _____
 A) if wealth increases, demand for asset A increases and demand for alternative assets decreases.
 B) the lower the expected return to asset A relative to alternative assets, the greater will be the demand for asset A.
 C) the more liquid is asset A, relative to alternative assets, the greater will be the demand for asset A.
 D) if asset A's risk rises relative to that of alternative assets, the demand will increase for asset A.
- 48) In the bond market, the bond demanders are the _____ and the bond suppliers are the _____. 48) _____
 A) lenders; advancers B) borrowers; lenders
 C) lenders; borrowers D) borrowers; advancers
- 49) The bond demand curve is _____ sloping, indicating a(n) _____ relationship between the price and quantity demanded of bonds, everything else equal. 49) _____
 A) upward; direct B) upward; inverse
 C) downward; direct D) downward; inverse

- 50) In the bond market, the market equilibrium shows the market-clearing _____ and market-clearing _____ 50) _____
- A) interest rate; deposit B) price; interest rate
C) interest rate; premium D) price; deposit

- 51) A situation in which the quantity of bonds supplied exceeds the quantity of bonds demanded is called a condition of excess supply; because people want to sell _____ bonds than others want to buy, the price of bonds will _____. 51) _____
- A) more; rise B) fewer; rise C) fewer; fall D) more; fall



- 52) In the figure above, a factor that could cause the supply of bonds to shift to the right is 52) _____
- A) a decrease in government budget deficits. B) a business cycle expansion.
C) a decrease in expected inflation. D) a recession.



- 53) In the figure above, a factor that could cause the supply of bonds to increase (shift to the right) is 53) _____
- A) a decrease in government budget deficits.
B) a decrease in expected inflation.
C) a business cycle recession.
D) expectations of more profitable investment opportunities.

- 54) If prices in the bond market become more volatile, everything else held constant, the demand curve for bonds shifts _____ and interest rates _____. 54) _____
- A) left; fall B) left; rise C) right; rise D) right; fall

- 55) Everything else held constant, when the government has higher budget deficits 55) _____
- A) the supply curve for bonds shifts to the right and the interest rate falls.
B) the supply curve for bonds shifts to the right and the interest rate rises.
C) the demand curve for bonds shifts to the left and the interest rate falls.
D) the demand curve for bonds shifts to the left and the interest rate rises.

- 1) D
- 2) A
- 3) B
- 4) C
- 5) C
- 6) A
- 7) D
- 8) D
- 9) C
- 10) A
- 11) B
- 12) B
- 13) A
- 14) A
- 15) D
- 16) D
- 17) A
- 18) D
- 19) B
- 20) C
- 21) C
- 22) A
- 23) B
- 24) C
- 25) A
- 26) C
- 27) B
- 28) C
- 29) B
- 30) C
- 31) D
- 32) C
- 33) B
- 34) A
- 35) D
- 36) A
- 37) B
- 38) C
- 39) D
- 40) D
- 41) D
- 42) B
- 43) B
- 44) D
- 45) C
- 46) A
- 47) C
- 48) C
- 49) D
- 50) B
- 51) D
- 52) B
- 53) D
- 54) B
- 55) B